

US V.S Visa (2024)

American consumers use debit cards to complete transactions for groceries and other necessities. Debit cards allow consumers to pay merchants with funds drawn from their bank account. A facilitator is required to connect the consumer's account with the merchant's bank account. Visa and its competitors such as Mastercard provide such a service. They connect the bank that issued the debit card (issuer) with the merchant's bank that acquired the payment (acquirer). Visa earns revenue by imposing fees on the issuer and acquirer for using their payment network. Visa faces competition not only from traditional rival Mastercard but also PIN networks and newer fintech firms. PIN networks originally facilitated ATM transactions and remain much smaller than Visa and Mastercard. Fintech, or financial technology, firms use interbank payment systems, such as ACH and RTP, to connect issuers with acquirers. Key examples include PayPal and Square. The viability of payment networks depends on all entities in a transaction accepting their business. This generates network effects. The more issuers on a network, the more likely acquirers will agree to use the network and vice versa. Smaller firms, however, lack this network effect and thus face difficulties in convincing issuers and acquirers to join their service. Visa benefits from network effects as it is already the default payment network on many cards. To promote greater competition, Congress in 2010 passed the Durbin Amendment which mandated issuers to include two payment networks on their cards. This increased the number of debit cards on which PIN networks were available and allowed merchants and consumers to choose which payment network to use. This posed a threat to Visa market share and profits. The government argues Visa employed anticompetitive measures to guard against this threat and maintain a monopoly in violation of section 2 of the Sherman Act. It further alleges that Visa entered into illegal non compete agreements and unreasonably restrained competition, violating section 1 of the Sherman Act. Visa is found to have violated section 2 of

the Sherman Act. It violates section 1 through its restriction on competition but is found not to have violated section 1 through illegal non compete agreements.

In its complaint, the government defines the two relevant markets to be general purpose debit network services and general card-not-present debit network services in the United States. General purpose debit network services facilitate debt transactions by allowing consumers and their bank to dispute transactions, payment guarantee for merchants, fraud protection, and a channel for all entities in transaction to communicate with each other. General card-not-present debit network services is a subset of the first market. It involves transactions where a physical card is not present, i.e. ecommerce and other digital payments. Credit, cash, checks, and interbank payment networks are not considered interchangeable with these services. Fintech payment services are considered part of the market. These companies add on the previously listed services to interbank payment systems. They are therefore considered part of both markets.

Section 2 of the Sherman Act prevents companies from obtaining or maintaining monopoly power through anticompetitive means. Visa has a large share of the debit card market. As exhibit 1 shows, Visa maintained a market share of around 60% between 2011-2015. Its next largest competitor mastercard hovered around 25% market share in the same time period. This could suggest Visa having monopoly power in these markets. While size does not necessarily equal monopoly power, a stronger indicator is the comparison of Visa's profit margins before and after the 2012 implementation of the Durbin Amendment. By mandating an additional payment network, the regulation made it easier for acquirers and merchants to use PIN networks. This should provide network effects to PIN networks, allowing them to expand, and better compete

against Visa. This should lead Visa profit margins to decrease. As exhibit 2 shows, Visa did see a dip in profit margins in 2012. However, Visa profit margin quickly recovered after 2012, returning to its previous levels. Visa's ability to respond rapidly to competition and return to high profitability suggests the company possesses significant market power. This power is not illegal unless anticompetitive means are used to maintain it. The government claims Visa used two such strategies: non-compete agreements and restrictions on trade. Both these strategies also violate section one of the Sherman Act.

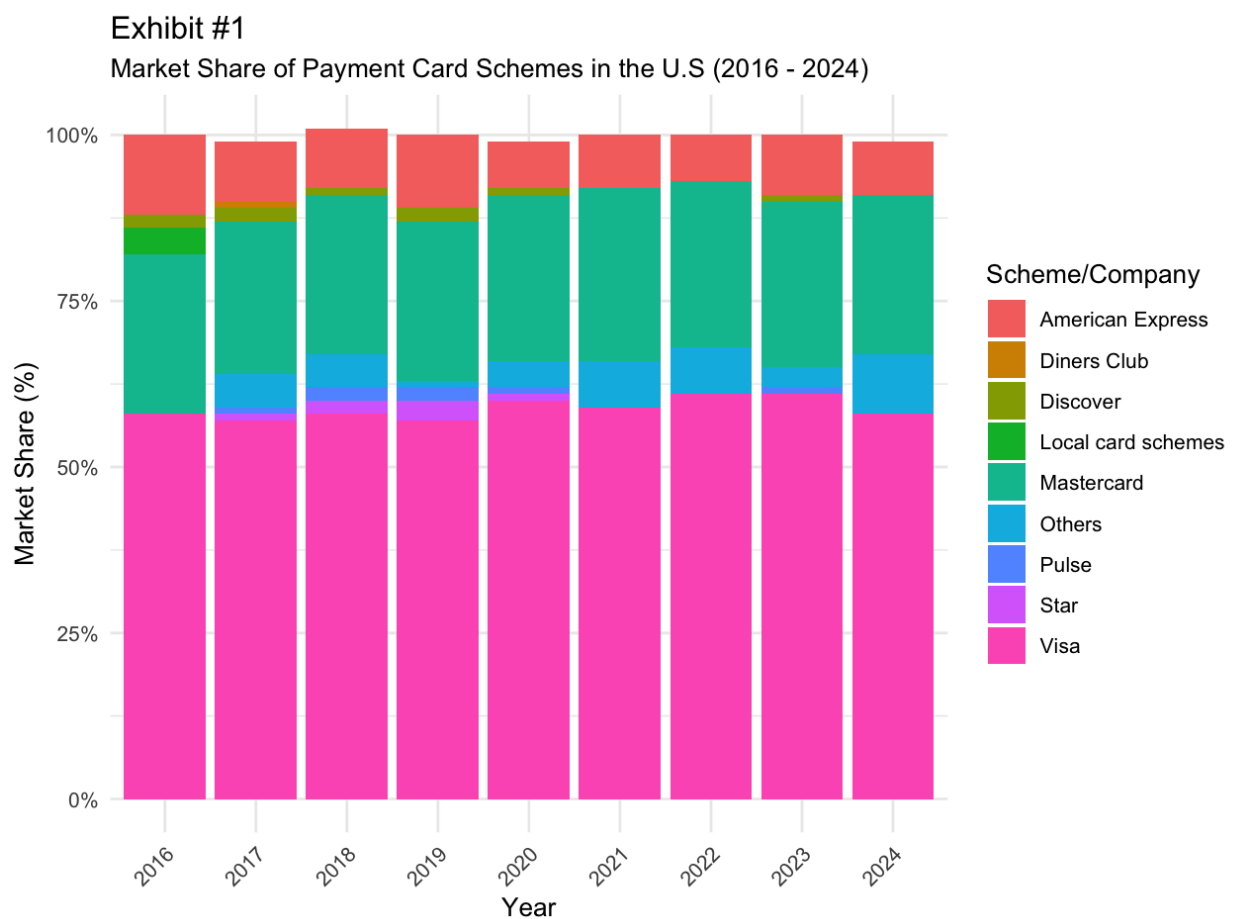
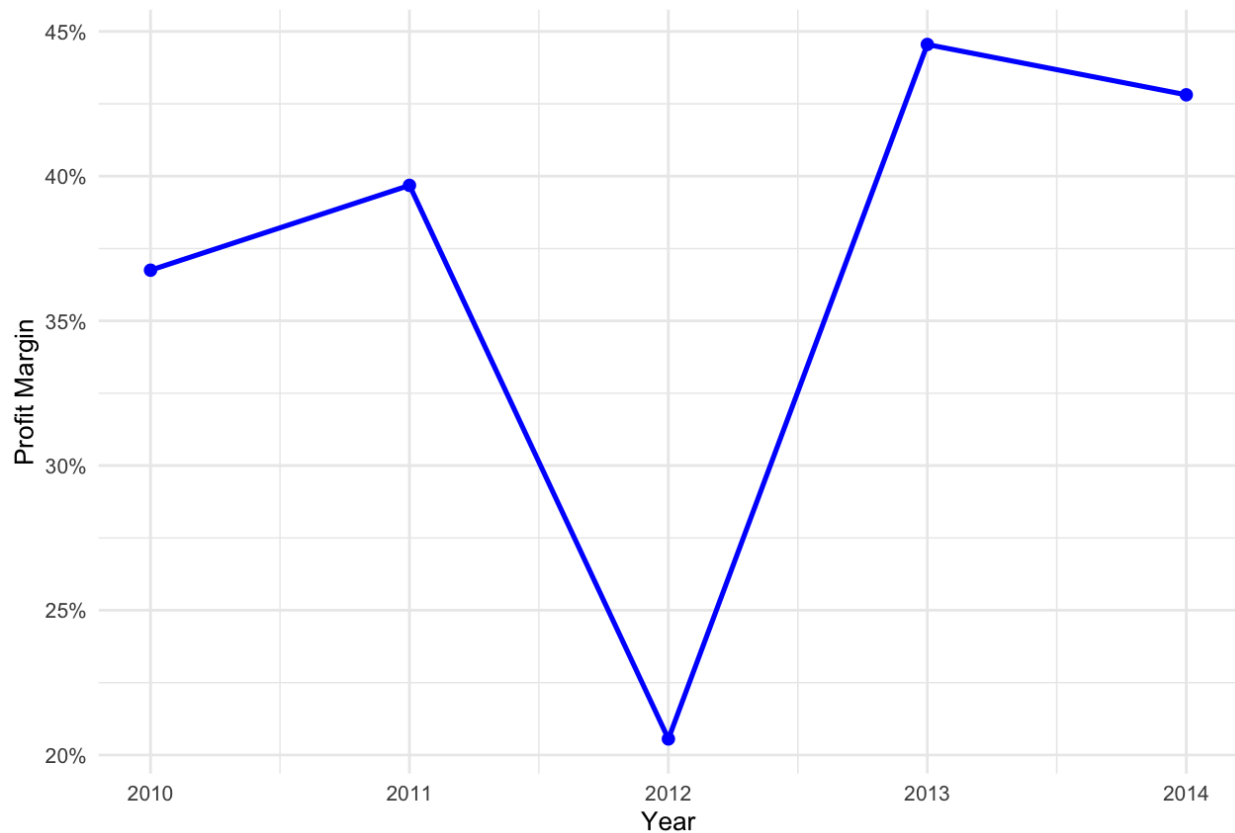


Exhibit #2

Visa Profit Margin (2010-2014)



According to the government, Visa uses its monopoly profits to enter into non compete agreements with potential competitors. The complaint cites an agreement with Apple as an example of this strategy. The agreement restricted Apple's ability to develop any payment facilities which could compete with Visa. In exchange, Visa provided Apple with reduced merchant fees. Visa disputes their agreement with Apple compels the latter to not compete in payment services. Visa also argues that it is within its right to charge Apple different prices depending on the status of their relationship. The believability of this claim is further strained by the limited incentives Apple has in agreeing to not compete in this market for monopoly profits. The potential future profits from developing new payment technologies likely outweighs the

shared profits provided by Visa. The emergence of fintech firms like Square reveals strong incentives for entry. Visa also entered into an agreement with Square. Profit sharing does not seem to be a compelling reason for this deal. Instead, it is the potential for differential treatment which motivated the agreement. This is an example of a more compelling example of anticompetitive behavior from Visa which is its restrictions on trade.

The second violation of section one alleged by the government is Visa use of cliff pricing terms and volume commitments in its agreements. Cliff pricing refers to Visa charging lower pricing for each transaction routed to its network as long as merchants or acquirers meet a volume requirement. If this volume requirement is not met, Visa charges a higher rate on transactions and possible additional fees. Visa argues this is a standard incentive to encourage business, but this ignores the context of its market dominance. As already noted, the majority of the debit service market is routed through Visa. Paying higher individual rates on Visa enabled transactions imposes a sizable cost on merchants and acquirers. This incentivizes them to select Visa rather than a PIN network or another competitor, preventing smaller firms from gaining the volume necessary to trigger network effects. This further decreases competitors ability to attract users, solidifying Visa market share, and increasing the prohibitive effect of its pricing model. Visa also uses restrictive pricing to curb fintech firms. For example, Square signed an agreement with Visa that allowed Visa debit cards on its Cash App. When Square tried to develop its own payment service that used ACH, it risked increased rates under the terms of the agreement it signed with Visa. Eventually, Visa waived the additional fee in exchange for the majority of transactions on the app being handled through Visa.

The government claim that Visa violated section 2 of the Sherman act is upheld. The government claim that Visa entered into illegal non compete agreements is not upheld. Visa is found to have violated section one of the Sherman act through its illegal restrictions on competition. Visa's attempt to obtain and maintain monopoly power in the general purpose debit network services and general card-not-present debit network services in the United States has harmed competition and, by extension, American consumers. Visa use of cliff pricing, volume commitments, and other penalties incentives merchants and acquirers to keep business with Visa despite congressional attempts to increase competition. This deprives Visa competitors from achieving the scale needed to develop network effects. As a result, there is less competition in the markets. Issuers, acquirers, and merchants pay more and consequently so do consumers. The restrictions on trade further hurt consumers by preventing the spread of alternative technologies from fintech firms and discouraging further innovation. The end result of Visa is a decrease in consumer welfare. For this reason, it is prudent to place restrictions on Visa's actions to remedy its anticompetitive conduct.

Documents

<https://www.justice.gov/atr/media/1370481/dl?inline>

<https://www.justice.gov/atr/media/1407066/dl?inline>

<https://storage.courtlistener.com/recap/gov.uscourts.nysd.628802/gov.uscourts.nysd.628802.38.0.pdf>

Datasets

<https://www.statista.com/statistics/1312439/biggest-card-schemes-in-usa/>

<https://investor.visa.com/news/news-details/2012/Visa-Inc-Posts-Strong-Fiscal-Fourth-Quarter-and-Full-Year-2012-Adjusted-Earnings-Results-and-Announces-New-15-billion-Share-Repurchase-Program/default.aspx>

<https://investor.visa.com/news/news-details/2014/Visa-Inc-Reports-Strong-Fiscal-Fourth-Quarter-Adjusted-Earnings-Per-Share-Growth-of-17-and-Full-Year-2014-Adjusted-Earnings-Per-Share-Growth-of-19-and-Announces-a-New-50-Billion-Share-Repurchase-Program/default.aspx>

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